IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-202

CP (CAA) No.-94/230/232/PB/2020(2nd Motion)

IN THE MATTER OF:

M/s. A.V Computers Pvt. Ltd. & Anr. With M/s. Mercury Fabrics Creation Pvt. Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 29.08.2023**

CORAM:
SHRI P.S.N. PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-94/230/232/PB/2020(2nd Motion) is **allowed**

Sd/- **Sd/-**

(DR. BINOD KUMAR SINHA) **(P.S.N. PRASAD)**
MEMBER (T) **MEMBER (J)**

NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-V

COMPANY PETITION NO. (CAA)-94(PB)/2020
CONNECTED WITH
COMPANY APPLICATION NO. CA (CAA)-52(PB)/2020

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF MERGER:

AMONGST

M/S A.V COMPUTER PRIVATE LIMITED
E-434, Greater Kailash- II
New Delhi- 110048.

... Transferor No. 1/Petitioner No.1 Company

AND

M/S MANGAL MILAN TRADEX PRIVATE LIMITED
134, FF, Vinoba Puri,
Lajpat Nagar- II, New Delhi- 110024

... Transferor No. 2/Petitioner Company No.2

AND

M/S MERCURY FABRIC CREATIONS PRIVATE LIMITED
D- 58, GF Basement, Okhla Ind
Area, Ph-1, New Delhi- 110020.

... Transferor No. 3/Petitioner Company No. 3

AND

M/S TRUE VALUE CATERERS PRIVATE LIMITED
158, Block-7, Dakshin Puri Ext,
New Delhi- 110062

... Transferor No. 4/Petitioner Company No. 4

AND

M/S MERCURY FABRICS PRIVATE LIMITED
D- 58, GF Basement, Okhla Ind
Area, Ph-1, New Delhi- 110020.

…Transferee/Petitioner No. 5

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Section: 230 to 232 of the Companies Act, 2013

Order Pronounced on: 29.08.2023

CORAM

SHRI P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For the Petitioner	**:**	Adv. Mr. Arun Saxena
For the Respondent	**:**	
For the RD	**:**	Ms. Swechcha Mishra
For the OL	**:**	Adv. Ms. Hemlata Rawat
For I.T Department	**:**	Mr. Zoheb Hossain

ORDER

PER: SHRI P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s A.V Computer Private Limited (Transferor Company No. 1/Petitioner No.1), M/sMangal Milan Tradex Private Limited (Transferor Company No. 2/Petitioner No.2), M/s Mercury Fabric Creations Pvt. Ltd.(Transferor

Company No. 3/Petitioner No.3), M/sTrue Value Caterers Private Limited (Transferor Company No. 4/Petitioner No.4) and M/s Mercury Fabrics Private Limited (Transferee Company/Petitioner No.5)under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with M/s Mercury Fabrics Private Limited (Transferee Company/Petitioner No. 5). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No. 1/Petitioner No. 1 i.e M/s A.V Computer Private Limited is a private limited company incorporated on 22.09.2006 under the provisions of the Companies Act, 1956 vide CIN: U73100DL2006PTC15236, having its registered office situated at E-434, Greater Kailas II,, New Delhi - 110048. Thus, the registered office of the Transferor Company No.1is under the jurisdiction of thisAdjudicating Authority. The authorized share capital of the Transferor Company No. 1 is Rs. 2,58,00,000/- divided into 25,80,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 2,00,60,000/- divided into 20, 06, 000 equity shares of Rs. 10/- each.

3. The Transferor Company No. 2/Petitioner No. 2 i.e M/s Mangal Milan Tradex Private Limited is a private limited company incorporated on 22.09.2006 under the provisions of the Companies Act, 1956 vide CIN:

U74900DL2006PTC154233, having its registered office situated at 134, FF, Vinoba Puri, Lajpat Nagar-II, New Delhi - 110024. Thus, the registered office of the Transferor Company is under the jurisdiction of thisAdjudicating Authority. The authorized share capital of the Transferor Company No. 2 is Rs. 2,30,00,000/- divided into 23,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 2 is Rs. 1,29,25,600/- divided into 12,92,560 equity shares of Rs. 10/- each.

4. The Transferor Company No. 3/Petitioner No. 3i.e M/s Mercury Fabric Creations Pvt. Ltd is a private limited company incorporated on 29.11.1991 under the provisions of the Companies Act, 1956 vide CIN: U74899DL1991PTC046568, having its registered office situated at D-58, GF Basement, Okhla Ind Area, Ph-1, New Delhi- 110020. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized Equity share capital of the Transferor Company No. 3 is Rs. 50,00,000/- divided into 5,00,000 shares of Rs. 10/- each. The authorized Preference share capital of the Transferor Company No. 3 is Rs. 20,00,000/- divided into redeemable Preference share of Rs. 10/- each.The paid-up Equity share capital of the Transferor Company No. 3 is Rs. 24,94,200/- divided into 2,49,420 shares of Rs. 10/- The Paid Up preference share capital of the Transferor Company No. 3 is Rs. 12,20,000/- divided into 1,22,000 redeemable Preference share of Rs. 10/- each

5. The Transferor Company No. 4/Petitioner No. 4 i.e M/s True Value Caterers Private Limited is a private limited company incorporated on 02.09.2006

under the provisions of the Companies Act, 1956 vide CIN: U74996DL2006PTC152982, having its registered office situated at 158, Block-7 Dakshin Puri Ext, New Delhi - 110062. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 4 is Rs. 2,82,00,000/- divided into 28,20,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 4 is Rs. 1,43,95,810/- divided into 14,39,581 equity shares of Rs. 10/- each.

6. The Transferee Company/ Petitioner Company No. 5 i.e. M/s Mercury Fabrics Private Limitedis a private limited companyincorporated on 14.07.2006 under the provisions of the Companies Act, 1956 vide CIN: U17119DL2006PTC150974, having its registered office at D-58, First & Second Floor, Okhla Ind Area, Ph- 1,, New Delhi- 110020. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company No. 5 is Rs. 5,00,00,000/- divided into 50,00,000/- equity shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 4,30,00,000divided into 43,00,000 equity shares of Rs. 10/- each.

7. The Petitioner Companies submitted that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -

i. The Scheme will result in formation of a larger Company enabling further growth and development of the Companies. The Scheme will enable the undertakings and business of the Companies to obtain greater facilities possessed and enjoyed by one large Company compared to various small Companies for raising capital, securing and conducting trade and business on favourable terms and other related benefits.

ii. The Scheme will enable the Companies concerned to rationalize and streamline their management, business and finances and lead to a better economic control, over the running and management of the business and undertakings of the Companies.

iii. The Scheme will result in reduction of overheads and other expenses, reduction in administrative and procedural work, eliminate duplication of work, transaction cost, better and more productive utilization of various resources and will enable the undertakings concerned to effect internal economies and optimize productivity.

iv. The Scheme will contribute in furthering and fulfilling the objects of the Companies concerned and enabling the optimum growth and development of their combined business.

v. With the enhanced capabilities and resources at its disposal, the Amalgamated Company will have greater flexibility to market and meet customer needs and will be able to compete

more effectively. Thus, further strengthening its market position.

vi. The amalgamation will enable the Companies to pool in their financial, managerial, technical and other resources and use the financial, managerial, and marketing expertise of each other.

8. The petitioner further submitted that the appointed date as fixed for the proposed scheme of Amalgamation is 01.04.2019 or such other date as may be directed by this Tribunal.

9. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)52/PB/2020. Vide order dated14.10.2020, the meetingsof Secured Creditors and Unsecured Creditorsof the Transferor Companies and Transferee Company ("Petitioner Companies") were dispensed with. Whereas on the same order, this Tribunal ordered for convening meeting of Shareholders of Transferor companies and Transferee company. Pursuant to thaton 25.11.2020 the said meeting of shareholders of Transferor Companies and Transferee Company were duly convened and approved the scheme of mergerunder the Chairperson Advocate Mr. Vinod Kumar Chaurasiaand Scrutinizer Mr. Ravi Sharma appointed by the thisTribunalvide order dated14.10.2020. The report of the Chairperson with respect to shareholders meetings held on 25.11.2020 is annexed as Annexure-P22 of the present Application.

10. The Tribunal vide Order dated 12.02.2021 directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii)

Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator

11. Pursuant to the notice issued to the Regional Director, Official Liquidator and the Income Tax Department they have filed their response/reply in the matter.

12. The Regional Director (RD) in its report vide letter dated 20.07.2021 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 13.10.2021 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation	Observation of the Regional Director (RD) vide report dated 20.07.2021	Reply of the Petitioner Companies vide affidavit dated 13.10.2021
1.	The RD submitted that, as regards allotment of shares to foreign nationals, the company has clarified that the transferee company is pursuing business of textiles which falls under the automatic route of Foreign Direct Investment (FDI). In view of the	Petitioner Companies replied that the transferee company carries on business of textile which falls under automatic route of Foreign Direct Investment (FDI) guidelines issued by Reserve Bank of India (RBI), Further

	above Hon'ble Tribunal may obtain clarification from RBI in this regard since allotment of shares will be made to Foreign Nationals (who were shareholders of the Transferor company- 1, Transferor company-2 & Transferor company-4) on approval of the scheme and also they are not pursuing textile business as evidenced from the balance sheet filed with the ROC by the said petitioner transferee companies. As regards the valuation report of shares done by Mr.Kapil Maheshwari, Registered Valuer instead of K-ZEN Advisors (Resolved by the Board of Directors, the petitioner companies in their reply have clarified that the said valuation firm (K-ZEN Advisors) is owned by Mr. Kapil Maheshwari who has valued the	submitted that the reply to this effect along with RBI circular has already filed before Ld. Regional Director on 25.05.2021 which is confirmed by RD in its report. The copy of the FDI guideline issued by the RBI is enclosed as **Annexure-1**in its reply affidavit. b) Petitioner Companies further replied that the transferee company shall allot shares to the share holder of transferor company pursuant to this scheme who are non residents. As the sector falls under automatic route of Reserve Bank of India, approval of RBI is not required for allotment of shares to Non Resident post

	shares for computation of SWAP ratio as recommended in this Merger.	merger. c) The business of the transferee company falls under automatic route which is clearly mentioned in the RBI circular, the request of RD for seeking clarification from RBI may be exempted as it will require more time which may lead to wastage of judicial time. Further, the transferee company agreed to comply with the legal provision if any required for issuance of shares to foreign nationals consequent to merger.
2.	Para-20 of the scheme of amalgamation stipulates that in the event of any of the sanctions and approvals if not being obtained on or the scheme not being	"a) The clause 20 of Scheme of Merger is reproduced as: EFFECT OF NON-RECEIPT OF APPROVALS/ SANCTIONS:

	sanctioned by the Hon'ble NCLT and for the orders not being passed as aforesaid on or before the 31.03.2021 or without such further period as may be extended by the Board of Directors of the respective companies, the subject to approval of the scheme by the Hon'ble NCLT the scheme shall become null and void. In the instant case the time stipulated above i.e. 31.03.2021 has been elapsed, also the petitioners have not conveyed about passing of any resolution of extension of period beyond 31.03.2021, hence it is prayed before the Hon'ble Tribunal to obtain clarification in this matter and if the petitioner companies have resolved the extension of period in their Board meetings the same may be placed in the order if passed by the	*20. In the event of any of the sanctions and approvals not being obtained and/or the scheme not being sanctioned by the National Company Law Tribunal (NCLT) and for the order (s) not being passed as aforesaid on or before the 31st March, 2021 or within such further period (s) as may be extended by the Board of Directors of the respective Companies, subject to approval the Scheme by National Company Law Tribunal (NCLT), shall become null and void and transferee Company shall bear and pay the costs, charges and expenses for and/or in connection with the Scheme of Amalgamation.*

	Hon'ble Tribunal while approving the scheme to avoid any future ambiguity	b) That the board of director of respective companies vide their board meeting dated 27th March, 2021 extended the time mentioned in clause 20 of the scheme upto31.03.2022. Copy of board meeting dated 27.03.2021 of all petitioner companies is enclosed as **Annexure- 2**in its reply affidavit.

13. We have gone through the report submitted by the RD as well as response of the Petitioner Companies with respect to observations in the report. We are of the view that the response of the Petitioner Companieshave clarified the observations raised by the RD in its report

14. The Official Liquidator has filed its report dated 23.03.2021 and submitted that they have not received anycomplaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner till the date of filing of this Report. It is further stated thatthe affairs of the aforesaid Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to

public interest as per the provisions of the Companies Act, 1956/the Companies Act, 2013 whichever is applicable.

15. The Income Tax Department has filed its report dated 31.08.2021, wherein no specific objection has been raised against the approval of the Scheme.

16. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

17. In this petition, it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

18. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

19. It is settled law that the shareholders of the Petitioner Companies are the best judges of their interest, being fully conversant with market trend. Therefore, this tribunal is not supposed to look into the merit of their Commercial decision

20. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

21. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

22. This Tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The 'appointed date' as fixed in the Scheme is 01.04.2019 or such other date as may be directed by this Tribunal. In view of the facts and circumstances of the case as well as the time taken in the process of approval of the Scheme, this Tribunal prescribes as 01.04.2022 the "Appointed Date" of the Scheme

(ii) Upon the sanction becoming effective from the appointed date asi.e 01.04.2022 prescribed by this Tribunal, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorablethan those on which they are engaged by the Transferor Companies,

as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

23. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company

and the files relating to all the Petitioner Companies shall be consolidated accordingly.

24. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

25. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(P.S.N. PRASAD)
MEMBER (JUDICIAL)